

“Oil prices are falling, but OPEC is expected to tighten the spigot in coming weeks, putting upward pressure on fuel prices. Economy is slow, but some predict it's bottoming. The airline is one of the few still profitable. Sell in the early Spring when the market for airline stocks usually goes soft (strong starting in the fall). Upside is 38, another mild resistance zone. Downside is 28, a prior support zone in March through June 2000 on weekly scale. That would put the loss at a rather steep 13%. That region is also just below the double top high, a likely support zone. This is a risky trade due to overhead resistance so I limited the position size.”

The stock cooperated by moving sideways for a week but then easing higher, forming what looked like a rounded top.

Here's the sell details: “6 September 2001. I put a stop at 31.50 this morning and it was hit. The stock has breached a support level, and with weakness in the economy and September/October upon us, it's time to leave with a small loss. I should have bought at the breakout price.”

On the trade, I lost 2%. Here's the kicker, and the date says it all: Five days later was 9/11. The stock market didn't open for a week, and when it did, the stock was down to 22.24. It bottomed near the end of the month, at 17.40, a drop of 45% below the sale price. I sold the stock just in time and escaped being slaughtered.

- Lesson: Sometimes you don't know how well you have traded until well after the sale.

## Cache

I was going to show you a chart of this trade, but there's not much to see. Coming off the 2007–2009 bear market, Cache (CACH) dropped and bounced, forming an Eve & Adam double bottom, with the second bottom in March 2009, bottoming just 3 days before the bear market officially ended (I didn't know it at the time, of course).

The chart pattern confirmed on 26 March, turning the squiggles into a valid double bottom. Price moved up in a nice straight-line run, and I bought when it formed a handle of a cup. That's what it looked like. On the left of the chart was the left rim, then the double bottom, and a right rim mirroring